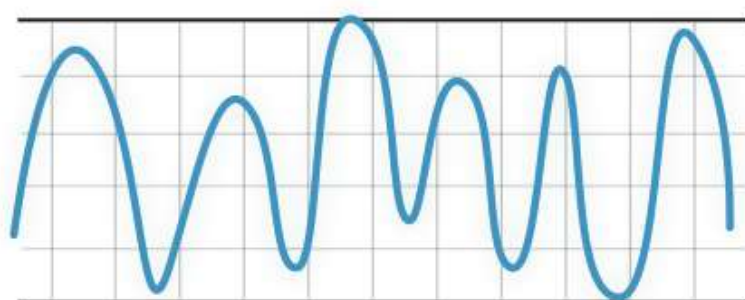


The difference between the strike prices from the middle options' strike price is equal i.e., ₹100.

In a Long Call butterfly, we are again trading based on volatility. If the price of the underlying on expiry is between the two extreme strike prices, we would profit and if it is outside the range, then we would incur losses to the extent of premium paid by us. Here, we need the price to be as close to the middle strike price for us to profit.



OUT OF RANGE
(LOSS MAKING)

